

and www.napfa.org.

5 Credentials like the CFA, CFP, or CPA tell you that the adviser has taken and passed a rigorous course of study. (Most of the other “alphabet soup” of credentials brandished by financial planners, including the “CFM” or the “CMFC,” signify very little.) More important, by contacting the organization that awards the credential, you can verify his record and check that he has not been disciplined for violations of rules or ethics.

6 If you have less than \$100,000 to invest, you may not be able to find a financial adviser who will take your account. In that case, buy a diversified basket of low-cost index funds, follow the behavioral advice throughout this book, and your portfolio should eventually grow to the level at which you can afford an adviser.

***** The National Federation of Financial Analysts is now the Association for Investment Management and Research; its “quarterly” research publication, the *Financial Analysts Journal*, now appears every other month.

***** The higher the growth rate you project, and the longer the future period over which you project it, the more sensitive your forecast becomes to the slightest error. If, for instance, you estimate that a company earning \$1 per share can raise that profit by 15% a year for the next 15 years, its earnings would end up at \$8.14. If the market values the company at 35 times earnings, the stock would finish the period at roughly \$285. But if earnings grow at 14% instead of 15%, the company would earn \$7.14 at the end of the period—and, in the shock of that shortfall, investors would no longer be willing to pay 35 times earnings. At, say, 20 times earnings, the stock would end up around \$140 per share, or more than 50% less. Because advanced mathematics gives the appearance of precision to the inherently iffy process of foreseeing the future, investors must be highly skeptical of anyone who claims to hold any complex computational key to basic financial problems. As Graham put it: “In 44 years of Wall Street experience and study, I have never seen dependable calculations made about common-stock values, or related investment policies, that went beyond simple arithmetic or the most elementary algebra. Whenever calculus is brought in, or higher algebra, you could take it as a warning signal that the operator was trying to substitute theory for experience, and usually also to give to speculation the deceptive guise of investment.” (See p. 570.)

***** In 1972, an investor in corporate bonds had little choice but to assemble his or her own portfolio. Today, roughly 500 mutual funds invest in corporate bonds, creating a convenient, well-diversified bundle of securities. Since it is not feasible to build a diversified bond portfolio on your own unless you have at least \$100,000, the typical intelligent investor will be best off